



6.9

EXPLORING THE THETA DECAY STRATEGY IN OPTIONS TRADING



Strategy video

Options trading has gained immense popularity among traders due to its flexibility and potential for high returns. In this chapter, we will delve into a commonly used strategy known as selling at-the-money (ATM) call and put options to capitalise on Theta decay.

By selling both call and put options at the ATM strike price, traders aim to profit from a sideways market movement.



The strategy typically begins at 9:30 a.m., coinciding with the market opening. Traders identify the current spot price of a particular index or stock, such as the Nifty, and select the ATM call and put options accordingly. One lot of each option is sold to initiate the strategy. To manage risk, a stoploss order is placed at 25% above the entry price for both the call and put options.